

or compound interest calculation. Lenders make money from interest, borrowers pay it.

12. Real Estate

A property consisting of land and the buildings on it, along with its natural resources such as crops, minerals, or water; or any other immovable property of this nature.

13. Equity

Equity is the value of an ownership interest in property, including shareholders' equity in a business.

14. Equity Market / Stock Market / Stock Exchange

A stock market or equity market is a public entity (a loose network of economic transactions, not a physical facility or discrete entity) for trading company stock (shares) and derivatives at an agreed price.

15. Derivative

Anything that is derived from something which is more tangible. e.g. Apple juice is a derivative of an apple or wood is a derivative of a tree. In financial terms, any currency like the Dollar or Rupee is a derivative of gold.

16. Central Bank (Reserve Bank)

A public institution that manages the nation's currency, money supply, and interest rates. e.g. The Reserve Bank of India or Federal Reserve of the United States.

17. Fractional Reserve

It indicates the fraction of the money receipts issued by a bank for which it physically holds commodities. For example, a 3:1 fractional reserve indicates that the bank is allowed to issue or lend R300 worth of money in case it physically holds R100 worth of commodities.

18. Returns or Return on Investments (ROI)

One way of considering profits in relation to capital invested.